

Table 23.1 Identification Guidelines

Characteristic	Discussion
Appearance	Price forms higher highs and lower lows in the first part of the pattern, then lower highs and higher lows. Trendlines surrounding the price action looks like a diamond. The diamond need not appear symmetrical.
Price trend	Price trends down into a diamond bottom. Ignore any overshoot or undershoot in the week or two before the diamond begins.
Volume	Downward from the start of the pattern to the end, with a surge during the breakout.
Breakout direction	Can be either up or down.

Also, I don't set a minimum trendline touch count. One of the trendlines may have only one touch (in a minor high or minor low). The other trendlines may have two touches, but the diamond shape should be apparent. Use the figures in this chapter as guidance.

Price trend. Since we are dealing with diamond *bottoms* and not tops, the prevailing price trend is downward leading to the diamond. Ignore any overshoot or undershoot in the week or two before the diamond begins when trying to gauge the inbound price direction.

Volume. Volume usually trends downward over the course of the pattern, but need not. Do not discard a chart pattern simply because volume trends upward instead of downward.

Breakout day volume is usually high—meaning it is above the 1-month average. Again, do not discard a diamond because the breakout volume is light instead of heavy.

Breakout direction. Price can break out in any direction but is upward most often. In Trading Tactics, I'll discuss a way to help improve determining the breakout direction using a single-diagonal pattern.

Figure 23.2 shows an example of a diamond bottom. The price trend is downward for nearly 2 months leading to the diamond. Price moves